

Did US Investment Produce Lasting Economic Development in Afghanistan?

Policy Brief · Waseem Sadat · May 2026

~\$145B

US spending in Afghanistan
2002–2021

\$651.42

Peak GDP per capita (USD)
reached 2012

45.3%

GDP decline 2012–2021
post-withdrawal

p = 0.537

DiD regression p-value
(not significant at 5%)

BACKGROUND

From 2002 to 2021, the United States committed \$145 billion for the reconstruction and development of Afghanistan. The project stands as the largest aid program in US history in comparison to the recipient country's size. Now, as the US debates the design and scale of future interventions, a critical empirical question remains: did this investment produce meaningful and lasting economic development, or did GDP gains only reflect the presence of temporary foreign spending? This brief presents evidence from a panel data analysis comparing Afghanistan's economic trends to seven other fragile states from 1995–2023.

DATA & METHODOLOGY

GDP per capita (in current USD) was sourced from the World Bank Open Data portal for Afghanistan and seven comparison countries: Yemen, Mali, Chad, Niger, Mozambique, the Democratic Republic of the Congo, and Sierra Leone. Each country was chosen for not receiving US intervention at comparable scale, and having similar levels of fragility and development as Afghanistan.

A difference-in-differences (DiD) framework was used to compare Afghanistan's GDP trajectory to the comparison countries before and after US investment began in 2002. The regression includes country fixed effects, controlling for structural differences between nations, and year fixed effects, controlling for global economic trends that would have impacted all fragile states at the same time. Standard errors are clustered at the country level. The outcome variable is log GDP per capita, making the coefficients interpretable as approximate percentage changes.

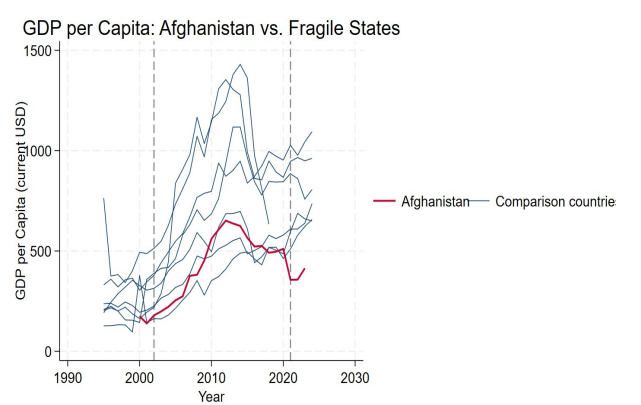
KEY FINDINGS

Afghanistan's GDP per capita rose 370% over 11 years, from \$138.71 in 2001 to a peak of \$651.42 in 2012. Trends then proceeded to decline steadily to \$356.50 by 2021 following US withdrawal, a 45.3% drop from its peak. By 2023 GDP per capita recovered partially to \$413.76, still 36.5% below its peak in 2012. On the surface, US investment produced substantial growth.

However, the DiD regression finds no statistically significant differential effect. The estimated DiD coefficient is 0.103 ($p = 0.537$), meaning that the growth Afghanistan had over the investment period was not meaningfully faster than the comparison group after accounting for fixed country characteristics and global trends. Comparable fragile states grew at around the same rates without similar US investment.

"We find no statistically significant evidence that US investment produced differential GDP growth in Afghanistan relative to comparable fragile states (DiD coefficient = 0.103, $p = 0.537$)."

FIGURE 1: GDP PER CAPITA TRENDS (1995–2023)



Note: Dashed lines mark 2002 (intervention onset) and 2021 (withdrawal). Afghanistan in red; comparison countries in navy.

REGRESSION RESULTS

Variable	Coeff.	Std. Err.	p-value
DiD Term	0.103	0.158	0.537
Country FE	Yes		
Year FE	Yes		
Clustered SE	Yes		
Observations	~200		

IMPLICATIONS & LIMITATIONS

These findings suggest that the growth observed during the investment period may be representing broader developmental trends in the region instead of the impact of US programs. The collapse observed after 2021, with a 45.3% drop in GDP per capita, further suggests that the gains observed were not self-sustaining once external support was withdrawn.

For future aid programs, policymakers should consider whether GDP per capita is a sufficient metric for developmental success and whether sustainability is accounted for in program design once intervention ends.

Limitations: The eight country sample is small, which limits statistical power. GDP only captures one dimension of development. Conflict intensity varied across each state, which was not controlled for in this specification.

